

APPENDIX

Calculations and assumptions for post-retirement expenditure and savings.

We need to make several forecasts. I'll list them out, and if you feel something is too large or too small, you can tweak the final rule of thumb accordingly.

Assumption one: Your income will grow every year at 10 per cent. This is a reasonable assumption, because even if you don't get a 10 per cent increment each year, the salary jump whenever you change a job compensates for two years of flat raises.

Assumption two: Your current expenditure and inflation grow at 6 per cent. I've overstated inflation here because of our past experience with inflation. Irresponsible governments cause inflation and we don't know what our vibrant democracy will throw into the parliament next. The current government is prudent and, in 2018, is committed to an inflation target of 4 per cent with a plus-or-minus band of 2 per cent, which means that the central bank will target inflation between 2 per cent and 6 per cent, but will aim to keep it near 4 per cent. But this can change very quickly with a less responsible government; therefore, I'm taking a 6 per cent number.

Assumption three: Your investments grow at a conservative 10 per cent a year while you are working. In a 6 per cent inflation regime, the risk-free return, or return from products like the PPF or EPF, is usually 1 or 2 percentage points higher than inflation.

It is reasonable to assume a risk-free return of 8 per cent. But you have some equity-linked products in your portfolio that will grow over the long term at about 12 per cent. Again, equity return is linked to the overall GDP growth of a country plus inflation, plus an equity risk premium.